Marcus & Sarah Chen — Financial Plan

Created: March 14, 2026 **Review date:** June 2026 (after mortgage renewal) **Prepared by:** AI Financial Coach

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Executive Summary

Marcus and Sarah are a young family in a solid but precarious position. Good combined income ($157K gross), a home with equity, a strong pension (HOOPP), and healthy kids. But they're running tight — $226/month surplus, no real emergency fund, high-fee investments, credit card debt at 21%, no wills, and major insurance gaps. The good news: there's $2,340/year in easy spending redirects, $650+/year in unclaimed benefits, and $250/year in missed CESG grants sitting right there. This plan gets them from "surviving" to "building wealth" in 3 phases.

Phase 1: Stabilize (Now – 6 months)

Goal: Stop the bleeding. Kill high-interest debt, build a basic safety net, capture free money.

Action Items — This Week

1. **Submit Sarah's massage receipts through Marcus's benefits plan.** She's paying $160/month out of pocket. Marcus's plan covers 80% paramedical up to $500/year. That's $400 back this year, starting immediately.
2. **Use Marcus's HSA before April 1 reset.** $500 available — submit Lily's allergy prescription costs, any recent dental or vision expenses not covered.
3. **Cancel Crave ($16) and switch Spotify to free tier ($17).** That's $33/month starting today.

Action Items — This Month

1. **Redirect the $195/month in habit spending cuts to the credit card.** Combined with current $126 minimum = $321/month toward the Visa. **Credit card paid off in 14 months** (saves $940 in interest vs. minimums).
2. **Set up the "wait 48 hours" rule for Amazon purchases.** Marcus agreed this would cut impulse buys by ~60% ($72/month saved).
3. **Increase Owen's RESP contribution from $104 to $208/month.** This captures the full $500/year CESG. The extra $104/month comes from the spending redirects. *Source: $33 streaming + $72 Amazon savings = $105 available.*

Action Items — This Quarter

1. **Get term life insurance quotes for both.** Marcus needs ~$750K in additional coverage. Sarah needs ~$600K. Estimated cost: ~$45-60/month combined for 20-year term. *This is non-negotiable with two young children.*
2. **Get disability insurance for Sarah.** She has zero income replacement if she can't work. Estimated cost: ~$80-100/month for own-occupation coverage at 60% of income.
3. **Open a high-interest savings account as the official emergency fund.** Move the $6,800 from EQ Bank into a dedicated emergency fund. Target: $16,500 (3 months essential expenses).
4. **Get wills and Powers of Attorney drafted.** Two young kids, no guardianship designation. Cost: ~$800-1,500 for a lawyer to do both wills + POAs. *Critical.*

Phase 2: Build (6 months – 2 years)

Goal: Debt-free (except mortgage), proper emergency fund, investments optimized.

Debt Payoff Plan (Avalanche Method)

The Chens' debt stress level is 7/10, and the math strongly favours avalanche here because the credit card rate is nearly 4x the other debts.

Priority	Debt	Balance	Rate	Payment	Payoff Date
1	TD Visa	$4,200	20.99%	$321/month	~May 2027
2	Car loan	$18,400	6.49%	$420/month (existing)	~Feb 2028
3	Student loan	$8,900	0% (interest-free)	$180/month + freed-up CC payment	~Sept 2028

Note: Sarah's federal student loan has been interest-free (0%) since April 2023, so it carries no interest cost and sits last in the avalanche. Clearing it early is a cash-flow/simplicity choice, not an interest-saving one — the dollars could equally go to investing once higher-rate debt is gone.

After credit card is paid off (May 2027): Redirect that $321/month: - $104 → top up Owen's RESP (already done in Phase 1) - $217 → emergency fund until it reaches $16,500

After emergency fund is full (~Oct 2027): Redirect $217/month → accelerate student loan payoff

After car loan is paid off (Feb 2028): Redirect $420/month → student loan payoff (accelerated to ~May 2028)

After all consumer debt paid off (~May 2028): $921/month freed up for investing.

Total interest saved by avalanche vs. minimum payments: ~$3,200

Investment Optimization

Sarah's RRSP — Switch from TD Balanced Growth Fund (2.31% MER) to low-cost ETF: - Current: $14,200 in TD Balanced Growth Fund - Recommended: Transfer to Questrade or Wealthsimple self-directed RRSP, buy VBAL (Vanguard Balanced ETF, 60/40, MER 0.17%) - **Fee savings: ~$304/year now, growing as the account grows** - Over 27 years to retirement (Sarah age 58): the fee difference on this $14,200 alone is approximately **$38,000** - Action: Open account, request RRSP transfer (Questrade/ Wealthsimple handle the paperwork), buy VBAL

Sarah's TFSA — Move from TD savings (0.05%) to invested: - $3,200 sitting in a savings account earning almost nothing - Recommended: Move to same self-directed platform, buy VGRO (80/20 growth ETF, MER 0.17%) — longer time horizon for TFSA - This is long-term money — 25+ year horizon supports growth allocation

Marcus's TFSA — GIC maturing Dec 2026: - When the $8,500 GIC matures, invest in VGRO on a self-directed platform - Marcus has HOOPP for the conservative/bond portion of his retirement — TFSA can be 100% growth

Emergency Fund Plan

Milestone	Amount	Timeline
Starting balance	$6,800	Now
Target	$16,500	~Oct 2027
Monthly contribution	$217 (after CC paid off)	Starting June 2027
Location	EQ Bank HISA (2.75%)	Already set up

Phase 3: Accelerate (2+ years, after debt-free)

Goal: Maximize wealth-building. Target retirement at 60/58.

Monthly Allocation After All Consumer Debt Paid Off (~May 2028)

Freed-up cash: $921/month (from debt payments) + continued spending discipline

Priority	Allocation	Monthly	Why
1	Sarah's RRSP	$400	Lower her taxable income, boost CCB, build retirement outside HOOPP
2	Marcus's TFSA	$300	

Priority	Allocation	Monthly	Why
			Tax-free growth, no OAS clawback impact in retirement
3	Sarah's TFSA	$200	Max contribution room, tax-free growth
4	Kitchen renovation fund	$200	$25K goal, ~10 years or use windfall

Why Sarah's RRSP first: - Sarah's marginal rate: ~29.65% (federal 20.5% + Ontario 9.15%) - $400/month RRSP contribution = $4,800/year = ~$1,423 tax refund - That tax refund also lowers family net income, potentially increasing CCB by ~$200-400/year - Reinvest the refund into the RRSP or TFSA for compound effect

Why NOT Marcus's RRSP: - Marcus has HOOPP — one of the best DB pensions in Canada - His pension + CPP + OAS will likely put him in a similar or higher bracket in retirement - Better to use TFSA (tax-free withdrawals won't trigger OAS clawback)

Spousal RRSP Consideration

- Marcus has $22,400 in RRSP room he's not using
- If Marcus contributes to a Spousal RRSP for Sarah: HE gets the tax deduction at his higher marginal rate (~33.9%), SHE withdraws in retirement at her lower rate
- Recommendation: Once Phase 2 is complete and there's cash flow, contribute $200/month to a Spousal RRSP in Sarah's name, in addition to her own RRSP contributions. After the 3-year attribution period, the funds are fully Sarah's.

Retirement Projection

Income Sources at Retirement

Assumptions: Marcus retires at 60, Sarah at 58. Both take CPP at 65, OAS at 65. Returns per FP Canada 2025 guidelines: moderate portfolio ~3.4% real return, 2.1% inflation.

Source	Marcus (from age 60)	Sarah (from age 58)	Combined
HOOPP pension	$36,800/year (est.)	N/A	$36,800
CPP at 65	~$11,400/year (est.)	~$7,200/year (est.)	$18,600
OAS at 65	~$9,200/year	~$9,200/year	$18,400

Source	Marcus (from age 60)	Sarah (from age 58)	Combined
Sarah's RRSP/RRIF (projected)	N/A	~$8,500/year drawdown	$8,500
TFSAs (projected, both)	~$6,000/year combined		$6,000
Total at age 65			**~$88,300/year**

Bridge years (age 58-65): HOOPP pension starts at 60 for Marcus. Sarah needs 7 years of bridge income (age 58-65) from TFSA and RRSP drawdowns before CPP/OAS kick in.

Target retirement income: 70% of pre-retirement = ~$110K gross → ~$88K net. The projection shows they're close but may need to either work to 62/60 instead of 60/58, or increase savings in Phase 3.

Retirement gap: ~$22K/year shortfall in early retirement years (before CPP/OAS). This can be closed by: - Working 2 extra years (retiring at 62/60 instead of 60/58) - Increasing TFSA contributions by $150/month starting in Phase 3 - Taking CPP at 60 with reduced benefit (not recommended — deferring to 65 or 70 is almost always better)

CPP Timing Recommendation

Scenario	Marcus Monthly	Sarah Monthly	Break-even vs. 65
CPP at 60	~$608 (36% reduction)	~$384	Age 74
CPP at 65	~$950 (estimated)	~$600	Standard
CPP at 70	~$1,349 (42% increase)	~$852	Age 82

Recommendation: Both defer CPP to at least 65. If finances allow, Marcus should consider deferring to 70 — it's an 8.4%/year guaranteed, inflation-indexed return. With HOOPP providing a base income, he can afford to wait.

RESP Projection

Lily (age 4, 14 years to post-secondary)

Item	Value
Current balance	$7,500
Annual contribution	$2,500
Annual CESG	$500
CESG captured to date	~$1,500 (3 years)
Projected balance at 18 (5.5% growth)	~$68,000
Estimated 4-year university cost (2040, inflated)	~$72,000-$95,000
Status	✅ On track — may have small gap for expensive programs

Owen (age 1, 17 years to post-secondary)

Item	Value
Current balance	$1,200
Current annual contribution	$1,250 (increasing to $2,500 in Phase 1)
Annual CESG (after increase)	$500
CESG captured to date	~$250 (1 year, partial)
CESG catch-up available	Yes — $250 in missed grants can be caught up ($5,000 contribution year = $1,000 CESG, max $1,000 carry-forward per year)
Projected balance at 18 (at $2,500/year + CESG, 5.5% growth)	~$82,000
Estimated 4-year university cost (2043, inflated)	~$80,000-$105,000
Status	⚠️ Needs contribution increase (addressed in Phase 1) — then on track

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Benefits You May Be Missing

Program	Est. Annual Value	Status	Action
Marcus HSA (employer)	$500	Unused — resets April 1	Submit eligible receipts immediately
Benefits coordination (massage)	$400+	Not claiming	Submit Sarah's massage through Marcus's plan
Owen CESG (increase contribution)	$250/year in grants	Partial	Increase RESP to $2,500/year
Sarah's benefits dental	~$300	Underused	Book Sarah's dental cleaning (100% covered preventive)
Employer EAP	Free counselling/financial advice	Not using	Available through both employers
Medical Expense Tax Credit	~$0 currently	N/A	After insurance, their out-of-pocket may not exceed 3% threshold. Revisit if they add insurance premiums.

Total estimated value being left on the table: ~$1,450/year

Key CRA Dates for the Chens

Date	What	Action
January 1	TFSA room resets (+$7,000 each)	Set up annual TFSA contribution
March 1, 2027	RRSP contribution deadline (for 2026 tax year)	Ensure Sarah's RRSP contributions are in
April 1	Marcus HSA resets	Use remaining balance before reset
April 30	Tax filing deadline	File returns to maintain CCB/benefits
July	CCB recalculated based on prior year income	Check new CCB amount
June 2026	Mortgage renewal	Shop rates, consider accelerated payments
Monthly (20th)	CCB payment	Auto-deposited

Insurance Action Plan

Immediate Priority: Wills & Powers of Attorney

- **Action:** Book a lawyer appointment THIS MONTH. Cost: ~$800-$1,500 for both wills + POAs.
- **Why it's #1:** With two young children and no will, the courts decide who raises Lily and Owen if something happens to both parents. This is more urgent than any financial optimization.
- **Include:** Guardianship designation, executor appointment, Powers of Attorney for Property and Personal Care for both Marcus and Sarah.

Term Life Insurance

Who	Coverage Needed	Recommended Product	Est. Monthly Cost
Marcus	$1,150,000	20-year level term, non-smoker	~$55-70
Sarah	$1,037,000	20-year level term, non-smoker	~$40-55

- **Why 20-year term:** Covers until Lily is 24 and Owen is 21 — through university.
- **Get convertible policies** so they can convert to permanent later if health changes.
- **Shop:** Get quotes from an independent broker (shops 30+ insurers) + at least one direct quote. Don't buy mortgage life insurance from the bank — it's decreasing coverage at non-decreasing premiums.
- **Timeline:** Get quotes this quarter. Apply within 30 days. Temporary coverage starts from application date (conditional receipt).

Disability Insurance for Sarah

- **Coverage:** Own-occupation, to age 65, 90-day elimination period
- **Benefit:** ~60% of gross income = ~$3,250/month
- **Est. cost:** $80-120/month
- **Why it's critical:** Sarah has ZERO income replacement if she can't work. Marcus's HOOPP pension doesn't help if Sarah is disabled — they need her $4,010/month take-home.
- **Tax note:** If Sarah pays the premium personally (not through employer), benefits are TAX-FREE when received.

Critical Illness Insurance (Lower Priority)

- Consider after life and disability are in place
- $100,000 coverage each: ~$40-60/month per person at their ages
- Cancer is the most common CI claim (~65%). A diagnosis means treatment costs, time off, and potential income reduction.
- **Return of Premium rider** makes it effectively free if never claimed (adds ~30-50% to cost but all premiums returned if no claim)

Mortgage Renewal Strategy (June 2026)

Current: $412,000 at 4.89% fixed, $2,340/month, renews June 2026.

Rate Shopping Plan (Start April 2026)

1. **Get 3+ quotes** 30-60 days before renewal (April-May):
    - Current lender (TD) retention rate
    - Independent mortgage broker (shops 30+ lenders)
    - At least one credit union
2. **Present competing offers** to TD — they'll often match to keep you
3. **DO NOT just sign the renewal letter** — TD's initial offer is almost never the best rate

Options to Evaluate

Option	Rate (Est. March 2026)	Monthly Payment	Notes
5-year fixed	~3.89-4.50%	$2,180-$2,340	Predictability, easier budgeting
5-year variable	~3.35-3.70%	$2,080-$2,180	Historically cheaper, but risk of rate spikes
3-year fixed	~3.70-4.20%	$2,130-$2,260	Shorter commitment,

Option	Rate (Est. March 2026)	Monthly Payment	Notes
			renew sooner if rates drop

(Rates as of March 2026 — verify at renewal time)

Acceleration Strategy

After consumer debt is paid off (~May 2028), redirect freed cash ($921/month) to mortgage: - Even $200/month extra on a $400K mortgage at ~4.5% saves ~$35,000-$45,000 in interest and pays off 3-4 years early - Use bi-weekly accelerated payments instead of monthly (equivalent to 1 extra monthly payment/year) - Most mortgages allow 10-20% annual lump sum prepayment — use tax refunds and bonuses

Prepayment Penalty Warning

If breaking the mortgage BEFORE June 2026 renewal (e.g., to switch lenders early): - Fixed-rate penalty = GREATER of 3 months interest (~$5,000) or IRD (could be $10,000-$20,000 depending on current rates) - **Recommendation:** Wait for renewal in June — no penalty to switch at maturity

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Investment Optimization (Detailed)

Sarah's RRSP — Switch from High-Fee Fund

Current: $14,200 in TD Balanced Growth Fund (MER 2.31%) **Recommended:** Transfer to Questrade or Wealthsimple, buy VBAL (MER 0.17%)

Scenario	Fee/Year	27 Years to Retirement	Total Fees Paid
TD Fund (2.31% MER)	$328	$14,200 → ~$38,000	~$38,000
VBAL (0.17% MER)	$24	$14,200 → ~$76,000	~$4,600
Difference	**$304/year**	**~$38,000 more**	**~$33,400 saved**

Action: Open self-directed RRSP at Questrade/Wealthsimple. Request in-kind or cash transfer from TD. Buy VBAL. The transfer is free at most discount brokerages (they handle the paperwork).

Asset Location Strategy (Once Debt-Free)

Account	Hold This	Why
Marcus TFSA ($48,500 room)	VEQT (all-equity, high growth)	Tax-free growth on highest-return assets
Sarah TFSA ($53,800 room)	VGRO (growth, 80/20)	

Account	Hold This	Why
		Tax-free growth, slightly less volatile
Sarah RRSP ($38,600 room)	VBAL (balanced, 60/40)	Shelters interest/ bond income from tax. Bonds are most tax-inefficient.
Marcus RRSP ($22,400 room)	Consider spousal RRSP for Sarah	Marcus's higher rate = bigger deduction. Sarah withdraws at lower rate in retirement.

Marcus's TFSA — GIC Maturing Dec 2026

When the $8,500 GIC matures, invest in VEQT on a self-directed platform: - Marcus has HOOPP for conservative/bond portion → TFSA can be 100% equity - 25+ year horizon to retirement supports all-equity allocation - VEQT: globally diversified, 0.17% MER, one purchase = instant diversification across 13,000+ stocks

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Tax Filing Optimization

Annual Tax Strategy

Item	Who Claims	Why
Medical expenses	Sarah	Lower 3% of net income threshold ($1,950 vs $2,760)
Charitable donations	Marcus	Higher marginal rate (33.9% vs 29.65%)
Childcare expenses	Sarah	Required by CRA (lower-income spouse)
Student loan interest	N/A	Federal student loans are interest-free since Apr 2023 — no interest paid, nothing to claim
RRSP contributions	Sarah (own RRSP)	Reduces her taxable income, may increase CCB
Spousal RRSP	Marcus contributes to Sarah's	Marcus gets deduction at 33.9%, Sarah withdraws at lower rate in retirement

Switch to Wealthsimple Tax (Free)

- Currently paying $50/year for TurboTax
- Wealthsimple Tax is free, NETFILE-certified, handles all their filing needs
- Auto-fill from CRA My Account imports all T-slips automatically
- Saves $50/year and is equally capable

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April 30	Tax filing + payment deadline	File returns to maintain CCB/benefits
June 2026	Mortgage renewal	Shop rates, negotiate, consider acceleration
July	CCB recalculated based on prior year income	Check new CCB amount — RRSP contributions may increase it
Monthly (20th)	CCB payment	Auto-deposited

Verified Reference Data

Tax Year: 2026 | Last verified: March 15, 2026

Item	Value	Source	Verified
Federal lowest bracket	14% on first $58,523 (reduced from 15%)	canada.ca	✅ Mar 2026
RRSP limit (2026)	$33,810 (or 18% of prior-year earned income, whichever is less)	canada.ca	✅ Mar 2026
TFSA annual room (2026)	$7,000	canada.ca	✅ Mar 2026
CESG rate	20% on first $2,500/ child ($500 max)	canada.ca	✅ Mar 2026
CCB base amounts	$8,157 (under 6) / $6,883 (6-17)	canada.ca	✅ Mar 2026
Federal basic personal amount	$16,452 (2026, max)	canada.ca	✅ Mar 2026

Item	Value	Source	Verified
Ontario basic personal amount	$11,865 (2025 — verify for 2026)	ontario.ca	✅ Mar 2026
OAS clawback threshold	$95,323 (2026)	canada.ca	✅ Mar 2026
CPP max pensionable earnings (YMPE)	$74,600 (2026)	canada.ca	✅ Mar 2026
CPP max monthly benefit at 65	$1,507.65 (2026)	canada.ca	✅ Mar 2026
OAS max monthly (age 65-74)	$751.97 (2026)	canada.ca	✅ Mar 2026
CDIC coverage	$100,000 per category per institution	cdic.ca	✅ Mar 2026

What This Plan Does NOT Do

This plan is educational guidance, not professional financial advice. The Chens should: - Review the insurance recommendations with a licensed insurance broker - Get wills and POAs drafted by a lawyer - Consult a fee-only financial planner if they want a second opinion on the retirement projection - Consult a CPA/tax professional before making major RRSP or investment decisions

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Plan Version History

Version	Date	Changes
v1.0	March 14, 2026	Initial plan created after full interview
v2.0	March 14, 2026	Added DIME insurance analysis, mortgage renewal strategy, investment asset location, tax filing optimization